

Low price for note, October 1918 to December 1919, was 99¹/₂.

These five transactions may be analyzed as follows:

1. Purchase of note and sale of half of related stock against it, at price not far from parity. This permitted a covering profit if the stock declined and a profit through sale of the other half if the stock advanced.

2. A decline in the stock permitted the covering profit.

3. Recovery of the stock permitted the original position to be restored.

4. Advance of the stock permitted sale of second half at price to assure profit on the operation.

5. Renewed decline in the stock permitted repurchase at profit of shares sold while note was disposed of at par.

Because the near maturity of the note issue (coupled with the reasonably strong financial condition of the company) could be counted upon fairly well to keep its price up, it was not necessary to sell out the note at Step 2. It could be held in the hope that the sale of the stock could be repeated.

NOTE 42

We have already indicated in Chap. 14 that 95% of all preferred stocks listed on the New York Stock Exchange failed to maintain an investment price level in 1932. A study by Adolph H. Graetz of large samples of bonds for each of the years 1931–1934 indicates the following distribution of annual low prices:

CORPORATE BOND PRICES AT THEIR ANNUAL LOWS, 1931–1934

Class (by price range)	1931		1932		1933		1934	
	Num-ber	Cumu-lative % ¹	Num-ber	Cumu-lative % ¹	Num-ber	Cumu-lative % ¹	Num-ber	Cumu-lative % ¹
0–9.9	245	5.69	623	13.82	683	14.78	555	12.28
10–19.9	334	13.45	562	26.29	507	25.75	459	22.57
20–29.9	335	21.23	419	35.59	438	35.23	370	30.63
30–39.9	380	30.06	388	44.20	418	44.28	333	38.02
40–49.9	296	36.94	364	52.28	403	53.00	331	45.40
50–59.9	319	44.35	426	61.73	381	61.24	372	53.46
60–69.9	377	53.10	384	70.25	384	69.55	340	60.86
70–79.9	461	63.81	417	79.50	405	78.31	409	70.04
80–89.9	571	77.07	406	88.51	399	86.94	435	79.79
90–99.9	835	96.47	450	98.49	467	97.04	568	92.61
100 and over	152	100.00	68	100.00	137	100.00	334	100.00
Total	4,305		4,507		4,622		4,506	

¹ Percentage of the total whose prices fell on or below the upper limit of the indicated class interval.